

Like most intellectual revolutions, the modern science of investing is highly counterintuitive. Do you think that it is possible, through careful securities research, to reliably select market-beating portfolios? Wrong: the data show that although many investors do so, in almost all cases this is purely the result of the randomness of the markets—in simple terms, dumb luck. People have also gotten fabulously rich buying lottery tickets; they have also gotten off scot-free without ever wearing a seatbelt. That does not make either activity a good idea. Do you think that, by choosing a portfolio of only a few stocks that you hope will score big, you are maximizing your chances of becoming wealthy? Indeed you are, but by doing so, you are also maximizing your chances of a retirement of cat food cuisine. And make no mistake about it: the object of this particular game is not to get rich—it's to not get poor.

*All About Asset Allocation* will bring you back into the modern era with a comprehensive, yet readable, exposition of how to apply to your investment portfolio what seven decades of financial research have taught us about investing.

Building an asset allocation is much like putting up a skyscraper. You will need blueprints—what asset classes to buy, which ones to skip, and how much of each to use. You will also need the construction materials—which building blocks to buy, and whom to buy them from. Rick Ferri provides you with both of these, in spades.

Unfortunately, in building your financial skyscraper, there is one thing that neither Rick nor I nor any other financial expert can do for you, which is to provide you with the nerve to stick to those blueprints when you find yourself 30 stories up in the naked girders in a howling wind. But with *All About Asset Allocation* by your side, you'll know that you're executing a sound design, using the best materials, and wearing the best safety rope that money can buy.

*William Bernstein*